

Westpac Wave - Fiji Quarterly Economic Update

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By Shamal Chand

Economist, Westpac Pacific

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The prolonged Middle East conflict has heightened risks to Fiji's economy via surging fuel prices, rising inflation and pressures on tourism, growth and foreign reserves. While growth forecasts have been downgraded, upside risks remain if fuel prices ease, supply disruptions are limited, and tourism activity proves more resilient than expected.



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Fiji will get through this crisis

The prolonged Middle East conflict has weakened Fiji's economic outlook, largely through its impact on global energy markets and the economy's high fuel and import dependence. The continued closure of the Strait of Hormuz has driven a sharp surge in refined fuel prices, shipping costs and insurance premia, creating what is effectively the largest external energy shock since the 1970s oil crisis. For Fiji, the shock is entirely imported, but the transmission to domestic prices, costs and activity is already evident.

Domestic fuel prices rose sharply in April, with further increases likely in the coming months as global price pressures filter through Fiji's regulated fuel pricing framework. While price controls have initially dampened pass-through, underlying pressures are building and headline inflation is now expected to peak around 6.4% by September 2026. Higher fuel costs are feeding into transport, electricity generation, food prices and broader business operating costs, squeezing household budgets.

Growth risks have risen. We have downgraded Fiji's 2026 growth forecast to 2.0%, from 3.3% previously, reflecting potentially weaker activity across the industrial, agricultural and services sectors. Tourism remains a key risk channel. While visitor arrivals grew strongly in Q1 2026, elevated jet fuel prices and the national airline's capacity adjustments point to a flatter tourism profile for the remainder of the year. Fiji Airways has already begun consolidating routes, citing fuel costs as a key constraint.

Fuel supply volumes remain adequate for now, with recent and scheduled shipments supporting near-term energy security. However, higher import costs threaten foreign reserves and place additional strain on public finances. In response, the Government has activated the Fiji National Fuel Emergency Action Plan and is considering targeted cost-of-living measures ahead of the June Budget, though fiscal space remains limited.

Upside risks remain if fuel prices ease more quickly, supply disruptions are avoided, and tourism demand proves resilient. Over the medium term, the crisis reinforces the urgency of strengthening energy security. Accelerating renewable investment and reducing reliance on imported fossil fuels will be critical to improving Fiji's resilience to future global shocks.

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